**UNITED STATES BANKRUPTCY COURT**
**FOR THE MIDDLE DISTRICT OF LOUISIANA**

| | |
|---|---|
| In re: | Case No. 24-10311 |
| Kologik, LLC, et al. | Chapter 11 |
| Debtor. | |
| **Kologik, LLC, et al.,**[1] | **Case No. 24-10311** |
| **Debtors.** | **(Joint Administration Requested)** |

**DEBTORS' EMERGENCY MOTION FOR ENTRY OF INTERIM AND FINAL ORDERS (I) AUTHORIZING DEBTORS TO UTILIZE CASH COLLATERAL, (II) GRANTING ADEQUATE PROTECTION TO PREPETITION SECURED PARTIES, (III) MODIFYING THE AUTOMATIC STAY, (IV) SCHEDULING A FINAL HEARING, AND (V) GRANTING RELATED RELIEF**

**NOTICE OF MOTION AND OPPORTUNITY FOR HEARING**

*PLEASE TAKE NOTICE that Debtors' Emergency Motion for Entry of Interim and Final Orders (I) Authorizing Debtors to Utilize Cash Collateral, (II) Granting Adequate Protection to Prepetition Secured Parties, (III) Modifying the Automatic Stay, (IV) Scheduling a Final Hearing, and (V) Granting Related Relief* (the "Motion") pursuant to sections 105, 361, 362, 363, and 507 of the Bankruptcy Code; Rule 4001 of the Federal Rules of Bankruptcy Procedure (the "Bankruptcy Rules") and move this Court for the entry of an interim order substantially in the form submitted herewith (the "Proposed Interim Order") granting the use of Cash Collateral, as defined in section 363 of the Bankruptcy Code, and related relief set forth herein on an interim basis and setting a final hearing on the Motion (the "Final Cash Collateral Hearing").

A hearing on the motion is set for [hearing date] at [time], in [courtroom and address of the Bankruptcy Court, Baton Rouge].

Any party opposing the motion must file an objection or response no later than eight days before the scheduled hearing and must at the same time serve a copy of the objection or response on the mover or its counsel, and on all other parties entitled to notice of the objection.

The above-captioned debtors and debtors in possession (collectively, the "Debtors") file this Emergency Motion for Entry of Interim and Final Orders (I) Authorizing Debtors to Utilize Cash Collateral, (II) Granting Adequate Protection to Prepetition Secured Parties, (III) Modifying the Automatic Stay, (IV) Scheduling a Final Hearing, and (V) Granting Related Relief (the "Motion") pursuant to sections 105, 361, 362, 363, and 507 of the Bankruptcy Code; Rule 4001 of the Federal Rules of Bankruptcy Procedure (the "Bankruptcy Rules") and move this Court for interim and final orders authorizing the Debtors to use cash collateral, granting adequate protection to the prepetition secured parties, modifying the automatic stay, scheduling a final hearing, and granting related relief.

[1] The debtors and debtors in possession in these chapter 11 cases (the "Chapter 11 Cases"), along with the last four digits of their respective Employer Identification Numbers, are as follows: Kologik, LLC (3729); Kologik Capital, LLC (3729); and Kologik Capital II, LLC (3729). The Debtors' mailing address is: 300 Main St, Ste. #2200, Baton Rouge, LA, 70801.

**UNITED STATES BANKRUPTCY COURT**
**FOR THE MIDDLE DISTRICT OF LOUISIANA**

| | |
|---|---|
| **In re** | **Chapter 11** |
| **Kologik, LLC, et al.,[1]** | **Case No. 24-10311** |
| **Debtors.** | **(Joint Administration Requested)** |

**DEBTORS' EMERGENCY MOTION FOR ENTRY OF INTERIM AND FINAL ORDERS (I) AUTHORIZING DEBTORS TO UTILIZE CASH COLLATERAL, (II) GRANTING ADEQUATE PROTECTION TO PREPETITION SECURED PARTIES, (III) MODIFYING THE AUTOMATIC STAY, (IV) SCHEDULING A FINAL HEARING, AND (V) GRANTING RELATED RELIEF**

The above-captioned debtors and debtors in possession (collectively, the "Debtors") file this *Emergency Motion for Entry of Interim and Final Orders (I) Authorizing Debtors to Utilize Cash Collateral, (II) Granting Adequate Protection to Prepetition Secured Parties, (III) Modifying the Automatic Stay, (IV) Scheduling a Final Hearing, and (V) Granting Related Relief* (the "Motion")[1] pursuant to sections 105, 361, 362, 363, and 507 of the Bankruptcy Code; Rule 4001 of the Federal Rules of Bankruptcy Procedure (the "Bankruptcy Rules") and move this Court for the entry of an interim order substantially in the form submitted herewith (the "Proposed Interim Order") granting the use of Cash Collateral, as defined in section 363 of the Bankruptcy Code, and related relief set forth herein on an interim basis and setting a final hearing on the Motion (the "Final Cash Collateral Hearing").

## JURISDICTION & VENUE

1. This Court has jurisdiction to consider this Motion under 28 U.S.C. §§ 157 and 1334. This is a core proceeding under 28 U.S.C. § 157(b). Venue of these cases and this Motion in this District is proper under 28 U.S.C. §§ 1408 and 1409.

## CONCISE STATEMENT OF MATERIAL TERMS

2. Pursuant to Bankruptcy Rule 4001(b), the Debtors submit the following concise statement of material terms (the "Material Terms")[2] of the Interim Order and section references:

| Term (Bankruptcy Rule) | Summary of Material Terms | Interim Order Reference |
|---|---|---|
| Entities with Asserted Interests in Cash Collateral (Bankruptcy Rule 4001(b)(1)(B)(i)) | Riva, Lafactor, TSB, Thomas, and Kelly (each as defined below) | ¶ 6 |
| Cash Collateral Use (Bankruptcy Rule 4001(b)(1)(B)(ii)) | The purpose of Cash Collateral use is to enable the Debtors to operate their business through the Proposed Sale and pay the costs associated with these | ¶ 7 |

[1] The debtors and debtors in possession these chapter 11 cases (the "Chapter 11 Cases"), along with the last four digits of their respective Employer Identification Numbers, are as follows: Kologik, LLC (3729); Kologik Capital, LLC (3729); Kologik Capital II, LLC (3729); and Kologik Capital III, LLC (3729). The Debtors' mailing address is: 300 Main St., Ste. #2200, Baton Rouge, LA, 70801.

[2] Capitalized terms in these Material Terms are defined in this Motion.

| Bankruptcy Rule | Summary of Material Terms | Interim Order Reference |
|---|---|---|
| **Budget**<br>Bankruptcy Rule 4001(b)(1)(B)(iii) | The Debtors will adhere to the Budget as may be amended, supplemented, or modified, and acceptable to this Court, in effect pursuant to the terms of the Interim Order, and the Final Order, as applicable, subject to a ten percent (10%) variance, on an aggregate basis, per weekly period | ¶8 |
| **Reporting Information**<br>Bankruptcy Rule 4001(b)(1)(B)(iii) | The Debtors shall provide the Prepetition Secured Parties a monthly report reflecting actual receipts and expenditures versus budgeted amounts, with such monthly reporting to be due by the 15th day after the end of the preceding month. | ¶9 |
| **Adequate Protection**<br>Bankruptcy Rule 4001(b)(1)(B)(iv) | The Debtors will provide adequate protection to Prepetition Secured Parties, only subject to the extent of any diminution of value in the collateral, and subject and junior to the Carve-Out:<br>a. Replacement liens on proceeds from the Proposed Sale in the same relative amounts and priority held by the Prepetition Secured Parties prior to the Petition Date;<br>b. Replacement security interest in and lien upon all like collateral (i.e. accounts, inventory, etc.) generated post-Petition Date in the same relative amounts and priority held by the Prepetition Secured Parties prior to the Petition Date;<br>c. An allowed super-priority administrative expense claim equal to, but not exceeding, the amount of diminution caused by Debtors' use of cash collateral,<br>Subject to the entry of the Interim Order approving the following, the Debtors will use the proceeds of the Proposed Sale to repay the Debtors' obligations to Riva and Lafactor (solely in respect of the MRB Notes in full, and in doing so will terminate the accrual of interest on such senior indebtedness which will provide further adequate protection to the remaining Prepetition Secured Parties (the Purchase Price for the Proposed Sale will provide sale proceeds in excess of the sum of | ¶10 |
| Budget (Bankruptcy Rule 4001(b)(1)(B)(iii)) | The Debtors will adhere to the Budget as may be amended, supplemented, or modified, and acceptable to this Court, in effect pursuant to the terms of the Interim Order, and the Final Order, as applicable, subject to a ten percent (10%) variance, on an aggregate basis, per weekly period | ¶ 8 |
| Reporting Information (Bankruptcy Rule 4001(b)(1)(B)(iii)) | The Debtors shall provide the Prepetition Secured Parties a monthly report reflecting actual receipts and expenditures versus budgeted amounts, with such monthly reporting to be due by the 15th day after the end of the preceding month. | ¶ 9 |
| Adequate Protection (Bankruptcy Rule 4001(b)(1)(B)(iv)) | The Debtors will provide adequate protection to Prepetition Secured Parties, only subject to the extent of any diminution of value in the collateral, and | ¶ 10 |

| Bankruptcy Rule Term (Bankruptcy Rule) | Summary of Material Terms | Interim Order Reference |
|---|---|---|
| **Budget**<br>Bankruptcy Rule 4001(b)(1)(B)(iii) | The Debtors will adhere to the Budget as may be amended, supplemented, or modified, and acceptable to this Court, in effect pursuant to the terms of the Interim Order, and the Final Order, as applicable, subject to a ten percent (10%) variance, on an aggregate basis, per weekly period | ¶8 |
| **Reporting Information**<br>Bankruptcy Rule 4001(b)(1)(B)(iii) | The Debtors shall provide the Prepetition Secured Parties a monthly report reflecting actual receipts and expenditures versus budgeted amounts, with such monthly reporting to be due by the 15th day after the end of the preceding month. | ¶9 |
| **Adequate Protection**<br>Bankruptcy Rule 4001(b)(1)(B)(iv) | The Debtors will provide adequate protection to Prepetition Secured Parties, only subject to the extent of any diminution of value in the collateral, and subject and junior to the Carve-Out:<br>a. Replacement liens on proceeds from the Proposed Sale in the same relative amounts and priority held by the Prepetition Secured Parties prior to the Petition Date;<br>b. Replacement security interest in and lien upon all like collateral (i.e., accounts, inventory, etc.) generated post-Petition Date in the same relative amounts and priority held by the Prepetition Secured Parties prior to the Petition Date;<br>c. An allowed super-priority administrative expense claim equal to, but not exceeding, the amount of diminution caused by Debtors' use of cash collateral.<br>Subject to the entry of the Final Order approving the following, the Debtors will use the proceeds of the Proposed Sale to repay the Debtors' obligations to Riva and Lafactor (solely in respect of the MRB Notes) in full, and in doing so will terminate the accrual of interest on such senior indebtedness which will provide further adequate protection to the remaining Prepetition Secured Parties (the Purchase Price for the Proposed Sale will provide sale proceeds in excess of the sum of | ¶10 |

| Bankruptcy Rule Term (Bankruptcy Rule) | Summary of Material Terms | Interim Order Reference |
|---|---|---|
| Carve Out (Bankruptcy Rule 4001(b)(1)(B)(iii)) | the Senior Secured Notes, and therefore these parties are entitled to post-petition interest under 11 U.S.C. §506(b)). | ¶12 |
| **Carve Out**<br>Bankruptcy Rule 4001(b)(1)(B)(iii) | The term "Carve-Out" shall mean any and all unpaid expenditures authorized or made pursuant to the Budget for:<br><br>A. paid and unpaid fees of the Clerk of the Bankruptcy Court and the U.S. Trustee pursuant to 28 U.S.C. § 1930(a)(6) and 28 U.S.C. § 156(c),<br><br>and<br><br>B. the reasonable paid and unpaid fees, disbursements, costs, and expenses incurred by the Debtors' Professionals and any committee appointed by the Court, but only to the extent such fees are allowed by the Bankruptcy Court, whether by interim order, procedural order or otherwise (and, in the case of committee professionals, up to $25,000).<br><br>For the avoidance of doubt, and without limiting the foregoing:<br><br>(A) the Debtors are authorized, subject to applicable court orders, to pay any fee, disbursement, cost, or expense that falls within the Carve-Out; and<br><br>(B) Cash Collateral may be used for payment of fees, disbursements, costs, and expenses of the Debtors' Professionals or any committee appointed by the Court, as allowed and payable, whether by interim order, procedural order or otherwise, or under sections 330 and 331 of the Bankruptcy Code.<br><br>Notwithstanding anything herein to the contrary, the prepetition collateral and adequate protection collateral shall be subject to the Carve-Out, and the amounts authorized under the Carve-Out shall | ¶12 |

| Bankruptcy Rule | Summary of Material Terms | Interim Order Reference |
|---|---|---|
| Term (Bankruptcy Rule) | Summary of Material Terms | Interim Order Reference |
| | have preference and priority of payment over all such liens and claims. | prepetition collateral adequate protection collateral shall be subject to the Carve-Out, and the amounts authorized under the Carve-Out shall have preference and priority of payment over all such liens and claims. |

## BACKGROUND

3. On April 23, 2024 (the "Petition Date"), the Debtors each filed a voluntary petition for reorganization relief under chapter 11 of title 11 of the United States Code (as amended, the "Bankruptcy Code") initiating a Chapter 11 case for each of the Debtors (the "Chapter 11 Cases") in this Court.

4. The Debtors continue to manage and operate their businesses as debtors-in-possession pursuant to sections 1107 and 1108 of the Bankruptcy Code. No trustee or examiner has been requested or appointed.

5. In support of the Motion, the Debtors rely on that certain *Declaration of Paul San Soucie, Chief Executive Officer of the Debtors, In Support of the Chapter 11 Petitions and First-Day Motions* (the "Declaration")[4] filed contemporaneously herewith.

### A. The Debtors' prepetition debt structure and filed liens

6. The following parties have active filed UCC-1 financing statements with the Louisiana Secretary of State (collectively, the "Financing Statements") with regard to property of the Debtors: Mississippi River Bank ("MRB"); Riva Ridge Master Fund, Ltd. ("Riva"); TSB Ventures, LLC ("TSB"); J. Bart Kelly ("Kelly"); and Lafactor, LLC ("Lafactor"). Copies of the filing details are submitted herewith globally as **Exhibit B - Financing Statements**.

[4] Capitalized terms used herein and not defined have the meaning set forth in the Declaration.

[3] Capitalized terms used herein and not defined have the meaning set forth in the Declaration.

7. Pursuant to those certain *Commercial Loan Assignment Agreements* dated September 15, 2023 by and between Lafactor and MRB (the "Lafactor Assignment"),[4] Lafactor is now the holder of the MRB Notes (as defined below) and the liens and security interests securing payment thereof. Additionally, Jackson Smith Thomas ("Thomas") obtained a disputed pre-petition writ of attachment in 2023 and claims a security interest upon the assets of the Debtor Kologik, in accordance with La. Code Civ Proc. Art's 3511, and 3541-3545 ("Thomas Writ Lien Claim"). Also, as mentioned above in foot note 4, online search results show an active UCC-1 filing in favor of Gordon Oaks Property & Investments, Inc. ("Gordon Oaks"), relating to the assets of ALEN, Inc., which sold its assets to Capital II. The aforementioned parties, Lafactor (as holder of the MRB Notes), Riva, TSB, Lafactor (as holder of claims for its own account), Kelly, Thomas and Gordon Oaks are referred to as the "Prepetition Secured Parties", and the claimed security interests and liens are referred to as the "Prepetition Secured Claims").[6]

8. Important to this Motion, there are two senior secured tranches of indebtedness that as of the inception of the indebtedness were held by third party lenders with no affiliation with or relationship to the Debtors (MRB and Riva).

9. *First*, on July 7, 2021, Kologik LLC, as borrower, and Mississippi River Bank, as lender, entered into that certain *Promissory Note* which evidences a revolving line of credit (the "MRB LOC Note"). The LOC Note is secured by, amongst other things, a first priority lien on

[4] Given the voluminous and confidential nature of the Assignment Agreement, the Debtors have not included copies of the Assignment Agreement with this Motion.

[5] As shown below, there remains an active UCC-1 financing statement purportedly in favor of Gordon Oaks Property & Investments, Inc., relating to the assets of ALEN, Inc., which sold its assets to Capital II. Capital II disputes that there should be any active UCC-1 relating to the purchased assets of ALEN, Inc., as Capital II purchased the ALEN assets free and clear. This is mentioned, and Gordon Oaks Properties will be provided notice, and, in the event it holds any lien claim, will be treated as a Prepetition Secured Party holding a Prepetition Secured Claim (as those terms are defined below).

[6] Riva is party to certain subordination agreements with each of Lafactor and TSB, among others, pursuant to which those parties agreed to subordinate obligations owing to them to those owing under the Riva Note.

substantially all of Kologik LLC's assets (the "MRB Security").[7] On October 28, 2022, Kologik LLC, as borrower, and Mississippi River Bank, as lender, entered that certain Promissory Note [Loan #0007] (the "MRB Note," together with the MRB LOC Note, the "MRB Notes") which are secured by, amongst other things, the MRB Security. Pursuant to the Lafactor Assignment, Lafactor is the holder of the MRB Notes, as well as the MRB Security. The Debtors acknowledge and agree that, as of March 31, 2024, amounts outstanding under the MRB Notes includes: as to the MRB LOC Note principal in the amount of $809,983, accrued and unpaid interest in the amount of $78,368, plus fees and other expenses; and as to the MRB Note principal in the amount of $429,240, accrued and unpaid interest in the amount of $42,763, plus fees and other expenses. The MRB Notes are secured by, amongst other things, substantially all of Kologik LLC and Kologik Capital LLC's assets, and certain specifically itemized property.

10. Second, on December 27, 2021, Kologik LLC and Kologik Capital LLC jointly and severally entered into that certain Secured Promissory Note with Riva (as amended, modified or otherwise supplemented, the "Riva Note"). The Debtors acknowledge and agree that, as of the Petition Date, amounts outstanding under the Riva Note includes principal in the amount of $7,654,685, accrued and unpaid interest in the amount of $1,264,021, plus fees and other expenses. The Riva Note is secured by, amongst other things, substantially all of Kologik LLC and Kologik Capital LLC's assets.[8]

11. The MRB Notes and Riva Note bear interest rates, with the MRB Notes at 21% and Riva Note at 23%. Riva and Lafactor are collectively referred to as the "Senior Secured Parties."

**B. The propose use of cash collateral in these Chapter 11 Cases**

12. Contemporaneously herewith, the Debtors are filing that certain Motion for Order Authorizing and Approving (I) Sale of Debtors' Assets Free and Clear of All Claims, Liens, Encumbrances and Interests pursuant to Asset Purchase Agreement, (II) Assumption and

---

[7] *See* Exhibit B at p. 1, 6, 8,

[8] See Exhibit B at p. 1, 6, 8. *See* Exhibit B at 4, 10.
See Exhibit B at 4, 10.

**B. The propose use of cash collateral in these Chapter 11 Cases**

12. Contemporaneously herewith, the Debtors are filing that certain *Motion for Order Authorizing and Approving (I) Sale of Debtors' Assets Free and Clear of All Claims, Liens, Encumbrances and Interests pursuant to Asset Purchase Agreement, (II) Assumption and Assignment of Certain Executory Contracts and Unexpired Leases, and (III) Granting Related Relief* filed contemporaneously herewith ("Sale Motion").

13. As set forth in the Sale Motion and declaration in support, as well as the Declaration, in the sound exercise of the Debtors' business judgment, the Debtors have determined to enter into a sale of substantially all assets as set forth in the Sale Motion (the "Proposed Sale").

14. Subject to entry of the Final Order, the Debtors will use the proceeds of the Proposed Sale to, amongst other things, pay in full their obligations to the Senior Secured Parties in respect of the MRB Notes and Riva Note (the "Senior Secured Notes"). The cessation of accrual of the interest on this indebtedness will provide significant value to the remaining creditors of the estate, including the junior Prepetition Secured Parties, by stopping the accrual of approximately $168,000 per month. The payment of the Senior Secured Parties' claims will preserve the remaining sale proceeds for the remaining Prepetition Secured Parties and the holders of administrative and other unsecured claims, and the rights of all parties to dispute the allowability, validity, extent and priority of any of the Prepetition Secured Claims and alleged liens securing payment of such Claims. Also, the Debtors will propose by separate motion, to be filed after closing of the Proposed Sale, that the Court direct a mediation process to resolve claims and ranking of liens as an initial step before litigation as to allowability of claims and rank of remaining liens, if any. Finally, the Debtors will propose a liquidating plan to provide for an allowance and distribution process.

15. But in order to preserve this value and facilitate the Proposed Sale, the Debtors must continue to operate their business until the Proposed Sale can be closed, and they require use of cash collateral as defined in section 363(a) of the Bankruptcy Code (the "Cash Collateral") to do so.

**RELIEF REQUESTED**

16. By this Motion, the Debtors request entry of an interim order (the "Interim Order") and, pending a final hearing on the relief requested herein, a final order (the "Final Order" and together with the Interim Order, the "Orders"): (i) authorizing the Debtors to continue to use cash

an entity other than the estate have an interest and includes the proceeds, products, offspring, rents, or profits of property and the fees, charges, accounts or other payments for the use or occupancy of rooms and other public facilities in hotels, motels, or other lodging properties subject to a security interest as provided in section 552(b) of this title, whether existing before or after the commencement of a case under this title." 11 U.S.C. § 363(a).

18. 11 U.S.C. § 363(c)(2) states as follows:

> The trustee may not use, sell, or lease cash collateral under paragraph (1) of this subsection unless—
>
> (A) each entity that has an interest in such cash collateral consents; or
>
> (B) the court, after notice and a hearing, authorizes such use, sale, or lease in accordance with the provisions of this section.

## BASIS FOR RELIEF

### A. The Debtors' use of Cash Collateral in accordance with the Budget is necessary

19. The Debtors require the use of Cash Collateral to pay reasonable and necessary operating expenses of continuing to operate their business through the closing of the Sale Process and to fund these Chapter 11 Cases.

20. A proposed interim budget for the use of Cash Collateral is attached hereto as **Exhibit A** (the "Budget"). The Budget reflects funds necessary to continue operating and stave off immediate and irreparable harm pending a final hearing on this Motion. The Debtors request that the amounts set forth in the Budget be subject to a weekly ten percent (10%) variance for receipt and disbursement line items (in an aggregate basis).

21. As set forth in the Declaration, the Debtors significantly reduced operating expenses prior to the Petition Date, and the Budget focuses primarily upon the cost of goods and the essential expenses of operating the business of the Debtor Kologik LLC (the operating entity). As the Budget is an interim cash budget, it does not reflect the accrual of professional fees. The

Debtors will propose a final budget to be considered in connection with the final hearing ("Final Budget"), and in that Final Budget the Debtors will accrue (for purposes of information only) estimated professional fees, UST fees, etc.

22. The continued use of Cash Collateral is necessary to preserve the value of the Debtors' assets and rights of all of the constituencies with claims or interests in these Chapter 11 Cases.

23. Riva, Lafactor, and TSB have communicated with undersigned counsel that they consent to the relief requested and the entry of the order proposed herewith.

**B. The Debtors will provide sufficient adequate protection**

24. Section 363 of the Bankruptcy Code authorizes a debtor to use cash collateral if those parties having an interest in such cash collateral consent or the court authorizes the use. See 11 U.S.C. § 363(c)(2). The use of cash collateral, however, may be prohibited or conditioned, upon proper request, as necessary to adequately protect any interest in cash collateral. See 11 U.S.C. § 363(e).

25. Generally, what constitutes adequate protection is decided on a case-by-case basis. *In re Columbia Gas Sys., Inc.*, No. 91-803, 1992 WL 79323, at *2 (Bankr. D. Del. Feb. 18, 1992); *see also In re Mosello*, 195 B.R. 277, 289 (Bankr. S.D.N.Y. 1996) ("the determination of adequate protection is a fact-specific inquiry . . . left to the vagaries of each case"); *In re Realty Sw. Assocs.*, 140 B.R. 360, 366 (Bankr. S.D.N.Y. 1992); *In re Beker Indus. Corp.*, 58 B.R. 725, 736 (Bankr. S.D.N.Y. 1986) (the application of adequate protection "is left to the vagaries of each case, but its focus is protection of the secured creditor from diminution in the value of its collateral during the reorganization process") (citation omitted).

26. A court may authorize the use of cash collateral upon showing that those with an interest in the cash collateral are adequately protected. *In re Las Torres Dev., L.L.C.*, 413 B.R. 687, (Bankr. S.D. Tex. 2009) ("in order for this Court to authorize the use of cash collateral, the Lender must be adequately protected); *In re Carbone Cos.*, 395 B.R. 631, 635 (Bankr. N.D. Ohio 2008) (A debtor requesting court approval to use cash collateral has the burden of proof as to the issue of "adequate protection".).

27. Adequate protection requires examination of the creditor(s)' aggregate collateral position, not simply protection of its lien on cash. Adequate protection may be provided by granting replacement or additional liens "to the extent [that the use of cash collateral] results in a decrease in the value of [an] entity's interest in property." *See* 11 U.S.C. § 361(2). Authorizing a debtor to use cash collateral on an interim basis is appropriate where, as here, continuing the business as a going concern will cause the generation of future revenues upon which the secured lender is granted replacement liens. *See, e.g., In re Neise, Inc.*, 16 B.R. 600 (Bankr. D. Fla. 1981); *In re Certified Corp.*, 51 B.R. 768 (Bankr. D. Haw. 1985); *In re Post- Tron Systems, Inc.*, 106 B.R. 345 (Bankr. D.R.I. 1989).

28. Therefore, only to the extent that there is any diminution in value of the collateral of the Petition Date, the Prepetition Secured Parties should be granted replacement liens on position of the Prepetition Secured Parties below the amount of their allowed secured claims as proceeds from the Proposed Sale in the same relative amounts and priority held by the Prepetition Secured Parties prior to the Petition Date; and a replacement security interest in and lien upon all like-collateral (i.e. cash, accounts, inventory, etc.) generated post-Petition Date in the same relative amounts and priority held by the Prepetition Secured Parties on account of the Prepetition Secured Claims,, subject to the Carve-Out detailed herein ("Replacement Liens"). For the Prepetition Secured Claims,, subject to the Carve-Out detailed herein ("Replacement Liens").

avoidance of doubt, the Replacement Liens granted to any Prepetition Secured Parties other than the Senior Secured Parties shall be junior to the Replacement Liens and Pre-Petition Liens of Senior Secured Parties.

29. The Prepetition Secured Parties shall also receive an allowed super-priority administrative expense claim equal to, but not exceeding, the amount of diminution caused by Debtors' use of cash collateral, again subject to the Carve-Out.

30. To the extent necessary, the Debtors request that this Court modify the automatic stay to grant such Replacement Liens set forth herein that become necessary, without the necessity of taking any further action to effectuate perfection thereof. Additionally, as set forth herein, the Debtors desire to use the proceeds of the Proposed Sale to pay off the Prepetition Secured Claims of the Senior Secured Parties, including postpetition accrual of interest and allowable fees. This will stop the incurrence of significant interest which devalues the assets of the estate for all junior creditors. This is an additional form of adequate protection of the junior Prepetition Secured Parties.

31. In fact, the Debtors assert (though do not need to establish) that there cannot be diminution of value by maintaining the business operations and paying the amounts necessary to pay to get through closing of the Proposed Sale. Without the professionals within the bankruptcy process (whose fees and costs are subject to Court approval) and maintenance of the Debtors' assets and businesses to get to closing of the Proposed Sale, the value of the Debtors' assets and business would continue to deteriorate through a combination of default and accrual of extremely high default interest, without the prospect of the Proposed Sale. While the Debtors' business operations have been straightened up pre-petition, the interest burden (combined with high interest rates throughout the Debtors' debt structure), makes the Proposed Sale the most viable alternative for obtaining the best value for the estates' assets. Therefore, the bankruptcy process as proposed herein in fact cannot cause diminution of value.

32. Notwithstanding the foregoing, the Debtors recognize the possibility (that they deem unlikely) that the Proposed Sale might not close. Therefore all Prepetition Secured Parties retain

alternative for obtaining the best value for the estates' assets. Therefore, the bankruptcy process as proposed herein in fact cannot cause diminution of value.

32. Notwithstanding the foregoing, the Debtors recognize the possibility (that they deem unlikely) that the Proposed Sale might not close. Therefore all Prepetition Secured Parties retain the right to seek additional adequate protection, the amendment to the interim or final order as might be entered upon this Motion, or other forms of stay relief in the event of change of circumstances (including, without limitation, the Proposed Sale not closing, or the terms of the interim or final order being different from the form proposed by the Debtors).

**C. The Carve-Out is appropriate**

33. To avoid stifling the rights and powers of the Debtors and parties in interest by a lack of funds to pay professional services rendered in the underlying bankruptcy, the adequate protection must be subject to a carve out. *In re Ames Dep't Stores*, 115 B.R. 34, 38 (Bankr. S.D.N.Y. 1990) (noting the practice "to insist on a carve out from a super-priority status and post-petition lien in a reasonable amount designed to provide for payment of the fees of debtor's and the committees' counsel and possible trustee's counsel in order to preserve the adversary system. Absent such protection, the collective rights and expectations of all parties-in-interest are sorely prejudiced.").

34. For purposes of this Motion and the Proposed Interim Order, the term "Carve-Out" shall mean any and all unpaid expenditures authorized or made pursuant to the Budget for: (i) the paid and unpaid fees of the Clerk of the Bankruptcy Court and the U.S. Trustee pursuant to 28 U.S.C. § 1930(a)(6) and 28 U.S.C. § 156(c), and (ii) the reasonable paid and unpaid fees, disbursements, costs, and expenses incurred by Kelly Hart Pitre and Rock Creek Advisors, LLC (together, the "Debtors' Professionals") and any committee appointed by the Court, but only to the extent such fees are allowed by the Bankruptcy Court, whether by interim or final order, procedural order or otherwise (and, in the case of committee professionals, up to $25,000).[9] For only Prepetition Secured claims to be paid at closing of the Proposed Sale are those of the Senior Secured Parties (such that no affiliate or related party will be paid at closing except Lafactor, and only in its capacity as holder of the MRB Notes), the Debtors propose that this amount is sufficient as part of the Carve-Out. The Carve-Out does not seek to cap any administrative claim of any committee professional.

[9] As (i) the Debtors seek approval of the Proposed Sale, and the Debtors will propose a mediation process and will propose an allowance process through a liquidating plan, and (ii) the

the extent such fees are allowed by the Bankruptcy Court, whether by interim or final order, procedural order or otherwise (and, in the case of committee professionals, up to $25,000). For the avoidance of doubt, and without limiting the foregoing, (A) the Debtors shall be authorized, subject to applicable court orders, to pay any fee, disbursement, cost, or expense that falls within the Carve-Out; and (B) Cash Collateral may be used for payment of fees, disbursements, costs, and expenses of the Debtors' Professionals or committee appointed by the Court, as allowed and payable, whether by interim or final order, procedural order or otherwise, or under sections 330 and 331 of the Bankruptcy Code. Notwithstanding anything herein to the contrary, the prepetition collateral and adequate protection collateral, shall be subject to the Carve-Out, and the amounts authorized under the Carve-Out shall have preference and priority of payment over all such liens and claims.

35. Courts within this Circuit regularly recognize the necessity of such a carve-out and approve carve-outs on similar terms. *In re Core Scientific, Inc*., et al., Case No. 22-90341, Dkt. No. 608 (Bankr. S.D. Tex. March 1, 2023); *In re Loan Wolf Equipment Rental Inc*., Case No. 23-33015, Dkt. No. 16 (Bankr. S.D. Tex. August 16, 2023); *In re Alfred Miller Contracting Company*, Case No. 22-20400, Dkt. No. 142 (Bankr. W.D. La. December 12, 2022).

**D. Interim Relief should be authorized**

36. Rule 4001(b)(2) prohibits conducting a hearing on cash collateral use less than fourteen days after serving the motion requesting the use; however, the court may hold an earlier preliminary hearing and authorize cash collateral use to prevent immediate and irreparable injury. Provided "there is a reasonable likelihood that the [debtor] will prevail at the final hearing" under section 363(e) of the Bankruptcy Code, the court may conduct a preliminary hearing and authorize the proposed cash collateral use. 11 U.S.C. § 363(c)(3).

37. Here, immediate access to Cash Collateral is crucial, as the Debtors must continue their operations and service their customer clients under the customer contracts as a requirement of the Proposed Sale APA. Not only is this necessary to continue operations until the Proposed Sale can close, but it will also necessary to fund these Chapter 11 Cases. As such, an immediate hearing and emergency interim relief is necessary and warranted. The use of Cash Collateral on an interim basis is necessary to prevent immediate and irreparable harm, as without the use of

[9] As (i) the Debtors seek approval of the Proposed Sale, and the Debtors will propose a mediation process and will propose an allowance process through a liquidating plan, and (ii) the only Prepetition Secured claims to be paid at closing of the Proposed Sale are those of the Senior Secured Parties (such that no affiliate or related party will be paid at closing except Lafactor, and only in its capacity as holder of the MRB Notes), the Debtors propose that this amount is sufficient as part of the Carve-Out. The Carve-Out does not seek to cap any administrative claim of any committee professional.

preliminary hearing authorizing cash collateral use to prevent immediate and irreparable injury.

Provided "there is a reasonable likelihood that the [debtor] will prevail at the final hearing" under section 363(e) of the Bankruptcy Code, the court may conduct a preliminary hearing and authorize the proposed cash collateral use. 11 U.S.C. § 363(c)(3).

**FINAL HEARING REQUESTED**

37. Here, immediate access to Cash Collateral is crucial, as the Debtors must continue their operations and service their customer clients under the customer contracts as a requirement of the Proposed Sale APA. Not only is this necessary to continue operations until the Proposed Sale can close, but it will also necessary to fund these Chapter 11 Cases. As such, an immediate hearing and emergency interim relief is necessary and warranted. The use of Cash Collateral on an interim basis is necessary to prevent immediate and irreparable harm, as without the use of Cash Collateral the Debtors cannot maintain their employees, cannot pay necessary and critical vendors, and cannot service the hundreds of customer contracts that are to be assigned as part of the Proposed sale. Without the requested interim relief the Debtors' estates, simply, will vanish. Further, no creditor will be (or even can be) harmed by the proposed use of Cash Collateral. As discussed in detail above and in the First Day Declaration, immediate and irreparable harm would result if the relief requested herein were not granted. Any delay in granting the relief requested could jeopardize the Debtors' ability to continue business operations for the benefit of all creditors and parties in interest. Accordingly, the Debtors submit that they have satisfied both (a) the "immediate and irreparable harm" standard of Bankruptcy Rule 6003 and (b) the requirements of Bankruptcy Local Rule 9013-1(g)(6) and, therefore, respectfully request that this Court approve the relief requested in this Motion on a final basis.

**EMERGENCY CONSIDERATION**

38. Pursuant to Bankruptcy Rules 4001(b)(2) and 4001(c)(2), the Debtors request that the Court (a) set a date for the Final Hearing that is as soon as practicable but no later than twenty-one (21) days from the Petition Date, and (b) fix the time and date prior to the Final Hearing for parties to file objections to this Motion being granted on a final basis.

39. The Debtors respectfully request emergency consideration of this Motion pursuant to Bankruptcy Rule 6003, which empowers a court to grant relief within the first twenty-one (21) days after the commencement of a chapter 11 case "to the extent that relief is necessary to avoid immediate and irreparable harm." The Debtors believe an immediate and orderly transition into chapter 11 is critical to the viability of their operations and the success of the Chapter 11 Cases.

**BANKRUPTCY RULE 6004 SHOULD BE WAIVED**

40. To the extent that any aspect of the relief sought herein constitutes a use of property under section 363(b) of the Bankruptcy Code, the Debtors request a waiver of the notice requirements under Bankruptcy Rule 6004(a) and the fourteen-day stay under Bankruptcy Rule

any claim or lien on any grounds; (c) a promise to pay any claim; (d) an implication or admission that any particular claim would constitute an allowed claim; (e) an assumption or rejection of any executory contract or unexpired lease pursuant to section 365 of the Bankruptcy Code; or (f) a limitation on the Debtors' rights under section 365 of the Bankruptcy Code to assume or reject any executory contract with any party subject to the Orders once entered. Nothing contained herein (unless expressly and specifically provided to the contrary) or within the order the Debtors request to be issued and entered hereupon shall be deemed to increase, decrease, reclassify, elevate to an administrative expense status, or otherwise affect any claim to the extent it is not paid.

## RESERVATION OF RIGHTS

41. This Motion, except as expressly and specifically provided herein, is not and should not be construed as: (a) an admission as to the validity of any claim against any Debtor or the existence of any lien against the Debtors' properties; (b) a waiver of the Debtors' rights to dispute any claim or lien on any grounds; (c) a promise to pay any claim; (d) an implication or admission that any particular claim would constitute an allowed claim; (e) an assumption or rejection of any executory contract or unexpired lease pursuant to section 365 of the Bankruptcy Code; or (f) a limitation on the Debtors' rights under section 365 of the Bankruptcy Code to assume or reject any executory contract with any party subject to the Orders once entered. Nothing contained herein (unless expressly and specifically provided to the contrary) or within the order the Debtors request to be issued and entered hereupon shall be deemed to increase, decrease, reclassify, elevate to an administrative expense status, or otherwise affect any claim to the extent it is not paid.

## NOTICE

42. In accordance with Rule 4001(c), notice of this Motion will be given to (a) the governmental agencies identified in this Court's Administrative Procedures, ¶ I; (b) the Debtors' thirty (30) largest unsecured creditors on a consolidated basis (this will provide notice to the majority of creditors and all creditors holding claims that are not minimal in amount), as identified in the filing with their chapter 11 petitions; (c) parties that have filed lien(s) on the Debtors' assets, (d) any party that has requested notice pursuant to Bankruptcy Rule 2002 as of the time of service; and (e) counsel for the prospective Purchaser under the Proposed Sale. The Debtors submit that no other or further notice need be provided.

## CONCLUSION

**WHEREFORE**, the Debtors respectfully request that the Court enter an order, substantially in the form of the Proposed Interim Order submitted herewith (i) authorizing the Debtors' the use of Cash Collateral, as defined in section 363 of the Bankruptcy Code, and related relief set forth in this Motion on an interim basis; (ii) setting the Final Cash Collateral Hearing; and (iii) granting related relief set forth in this Motion and any further relief to which the Debtors may be entitled.

the initial service; and (e) counsel for the prospective Purchaser under the Proposed Sale. The Debtors submit that no other or further notice need be provided.

are entitled.

Dated: April 23, 2024.

## CONCLUSION

WHEREFORE, the Debtors respectfully request that the Court enter an order, substantially in the form of the Proposed Interim Order submitted herewith (i) authorizing the Debtors' the use of Cash Collateral, as defined in section 363(a) of the Bankruptcy Code, and related relief set forth in this Motion on an interim basis; (ii) setting the Final Cash Collateral Hearing; and (iii) granting related relief set forth in this Motion and any further relief to which the Debtors are entitled.

Dated: April 23, 2024.

Respectfully submitted,

**KELLY HART PITRE**

***/s/ Louis M. Phillips***

**Louis M. Phillips (#10505)**
One American Place
301 Main Street, Suite 1600
Baton Rouge, LA 70801-1916
Telephone: (225) 381-9643
Facsimile: (225) 336-9763
Email: louis.phillips@kellyhart.com

and

Erin K. Arnold (LA #29069)
Amelia L. Hurt (LA #36817)
400 Poydras Street, Suite 1812
New Orleans, LA 70130
Telephone: (504) 522-1812
Facsimile: (504) 522-1813
Email: erin.arnold@kellyhart.com
Email: amelia.hurt@kellyhart.com

***Proposed Counsel for the Debtors***

Respectfully submitted,

/s/ Louis M. Phillips (#10505)
*Kelly Hart Pitre*
*Proposed Counsel for the Debtors*
*One American Place*
*301 Main Street, Suite 1600*
*Baton Rouge, LA 70801-1916*
*Telephone: (225) 381-9643*
*Email: louis.phillips@kellyhart.com*